MLBV NOTES LINKED TO A DECREMENT INDEX
NOT PRINCIPAL PROTECTED

BofA SECURITIES

Final Terms and conditions as of 05 January 2026

This term sheet contains indicative terms only. All materials contained herein are for discussion purposes only. Finalised terms and conditions are subject to further discussion and negotiation. We make no representation and have given you no advice concerning the appropriate accounting treatment or possible tax consequences of this indicative transaction.

This communication is furnished at the request of the recipient for the exclusive purpose of identifying the instrument referred to herein (the "**Instruments**"). It is furnished for your private information with the express understanding, which the recipient acknowledges, that it does not constitute an offer of such Instrument or a means by which such Instrument may be offered or sold. Any written offer of such Instrument may be made only by means of an offering document and any related supplements thereto.

INVESTING IN THE INSTRUMENTS PUTS YOUR CAPITAL AT RISK. YOU MAY LOSE SOME OR ALL OF YOUR INVESTMENT.

PROHIBITION OF SALES TO UK RETAIL INVESTORS

The Instruments are not intended to be offered, sold or otherwise made available to and should not be offered, sold or otherwise made available to any retail investor in the United Kingdom ("**UK**"). For these purposes, a "**retail investor**" means a person who is one (or more) of: (i) a retail client, as defined in point (8) of Article 2 of Regulation (EU) No 2017/565 as it forms part of domestic law by virtue of the European Union (Withdrawal) Act 2018 (the "**EUWA**") and the regulations made under the EUWA; (ii) a customer within the meaning of the provisions of the Financial Services and Markets Act 2000 (as amended, the "**FSMA**") and any rules or regulations made under the FSMA to implement Directive (EU) 2016/97, where that customer would not qualify as a professional client, as defined in point (8) of Article 2(1) of Regulation (EU) No 600/2014 as it forms part of UK domestic law by virtue of the EUWA and the regulations made under the EUWA; or (iii) not a qualified investor as defined in Article 2 of Regulation (EU) 2017/1129 as it forms part of UK domestic law by virtue of the EUWA and the regulations made under the EUWA (the "**UK Prospectus Regulation**"). Consequently no key information document required by Regulation (EU) No 1286/2014 as it forms part of UK domestic law by virtue of the EUWA and the regulations made under the EUWA (the "**UK PRIIPs Regulation**") for offering or selling the Instruments or otherwise making them available to retail investors in the UK has been prepared and therefore offering or selling the Instruments or otherwise making them available to any retail investor in the UK may be unlawful under the UK PRIIPs Regulation.

GENERAL TERMS

AGGREGATE NOMINAL AMOUNT	SPECIFIED DENOMINATION ("SD")	CALCULATION AMOUNT ("CA")	ISSUE PRICE	ISIN
EUR 500,000.00	EUR 1,000	EUR 1,000	100% of the Aggregate Nominal Amount	XS3256119440

Issuer:	Merrill Lynch B.V. ("**MLBV**")
Guarantor:	Bank of America Corporation, Delaware U.S.A. ("**BAC**") Long term senior unsecured debt rating: S&P A- (Outlook: Stable), Moody's A1 (Outlook: Stable), Fitch AA- (Outlook: Stable)
Principal Protection:	The Instruments are not principal protected.
Offering Documents:	The Instruments are to be issued under the Bank of America Corporation and Merrill Lynch B.V. Note, Warrant and Certificate Programme pursuant to the terms and conditions of the Base Prospectus dated 18 July 2025 and supplements thereto (together the "**Base Prospectus**") and the applicable Issue Terms (together, the "**Offering Documents**"). Capitalised terms not defined herein shall have the meaning ascribed to them in the Offering Documents.
Type of Instruments:	Notes
Trade Date:	05 January 2026
Initial Averaging/Lookback Dates:	Each of 05 January 2026 and 27 February 2026 Each Initial Averaging/Lookback Date shall be an Averaging Date; Postponement applies.

The terms outlined herein represent only a summary of the terms and conditions of the Instruments which will be issued pursuant to the base prospectus dated 19 July 2024 as supplemented from time to time (the "**Base Prospectus**"). The full terms and conditions for the Instruments (which will be the only legally binding terms) will be contained in the Base Prospectus, and in the applicable Issue Terms. Before the issuance of any Instruments, the Base Prospectus and any supplements thereto are available for viewing and can be obtained during normal business hours at the registered office of the relevant Dealer and at the specified office of the applicable Agent and in electronic form on the Luxembourg Stock Exchange's website (www.luxse.com). The Issue Terms relating to Instruments listed on the Luxembourg Stock Exchange will be made available in electronic form on the Luxembourg Stock Exchange's website (www.luxse.com).

Subscription Period: Not Applicable

Issue Date: 27 February 2026

Final Valuation Date: 27 February 2036

Maturity Date: 05 March 2036, provided that, if an Automatic Early Settlement ("**AES**") Barrier Event occurs, the Maturity Date shall be the relevant AES Settlement Date.

Specified Currency: Euro ("**EUR**")

Interest Commencement Date: Not Applicable

INFORMATION RELATING TO THE UNDERLYING(S)

Index	Bloomberg Code	Index Sponsor	Index Currency	Unitary Index / Multi-Exchange Index	Exchange	Related Exchange	Initial Value
MerQube Edenred SA 1.00 Point Decrement (EUR) Index	MQDED01P Index	MerQube	EUR	Unitary Index	As specified in Index Linked Condition 2 in respect of a Multi-Exchange Index	All Exchanges	

REDEMPTION

Final Settlement Amount: Settlement will be by way of cash payment ("**Cash Settled**"). The Final Settlement Amount payable on the Maturity Date shall be an amount per Calculation Amount in the Specified Currency determined by the Calculation Agent in accordance with the following:

1) If the Final Value of the Underlying is greater than or equal to 91% of its Initial Value:

CA x 280%

2) If the Final Value of the Underlying is less than 91% of its Initial Value, and:

(a) if the Final Value of the Underlying is greater than or equal to 50% of its Initial Value:

CA x 100%

(b) if the Final Value of the Underlying is less than 50% of its Initial Value:

CA x (Final Value / Initial Value)

Closing Value: Means, in respect of an Underlying and any relevant date, the Index Closing Level on such date, as defined in the Base Prospectus.

Final Value: Means, in respect of an Underlying, the Closing Value on the Final Valuation Date.

Initial Value: Means, in respect of an Underlying, the lowest (or equal lowest) of the Closing Values in respect of each of the Initial Averaging/Lookback Dates corresponding to such Underlying.

EARLY REDEMPTION

AUTOMATIC EARLY REDEMPTION

If an AES Barrier Event occurs, all of the Instruments will be redeemed on the AES Settlement Date at the AES Settlement Amount.

AES Barrier Observation Date(s): Observation Dates 1 to 36

AES Barrier Level: Means, in respect of an Underlying and an AES Barrier Observation Date, an amount equal to the relevant percentage of the Initial Value, as set out in the "RELEVANT DATES" table below.

AES Settlement Amount: Means, in respect of an AES Barrier Observation Date, an amount per Calculation Amount as set out in the "RELEVANT DATES" table below.

AES Settlement Date(s): As set out in the "RELEVANT DATES" table below.

AES Barrier Event: An AES Barrier Event shall occur, if in the determination of the Calculation Agent, the Closing Value of the Underlying is greater than or equal to its AES Barrier Level on any AES Barrier Observation Date.

Observation Date(s): As set out in the "RELEVANT DATES" table below.

RELEVANT DATES

	Observation Date(s)	AES Settlement Date(s)	AES Barrier Level (percentage of the Initial Value)	AES Settlement Amount
1	01 March 2027	08 March 2027	100.0000%	CA x 118.0000%
2	27 May 2027	04 June 2027	99.7500%	CA x 122.5000%
3	27 August 2027	06 September 2027	99.5000%	CA x 127.0000%
4	29 November 2027	06 December 2027	99.2500%	CA x 131.5000%
5	28 February 2028	06 March 2028	99.0000%	CA x 136.0000%
6	29 May 2028	05 June 2028	98.7500%	CA x 140.5000%
7	28 August 2028	04 September 2028	98.5000%	CA x 145.0000%
8	27 November 2028	04 December 2028	98.2500%	CA x 149.5000%
9	27 February 2029	06 March 2029	98.0000%	CA x 154.0000%
10	28 May 2029	04 June 2029	97.7500%	CA x 158.5000%
11	27 August 2029	03 September 2029	97.5000%	CA x 163.0000%
12	27 November 2029	04 December 2029	97.2500%	CA x 167.5000%
13	27 February 2030	06 March 2030	97.0000%	CA x 172.0000%
14	27 May 2030	03 June 2030	96.7500%	CA x 176.5000%
15	27 August 2030	03 September 2030	96.5000%	CA x 181.0000%
16	27 November 2030	04 December 2030	96.2500%	CA x 185.5000%
17	27 February 2031	06 March 2031	96.0000%	CA x 190.0000%
18	27 May 2031	03 June 2031	95.7500%	CA x 194.5000%
19	27 August 2031	03 September 2031	95.5000%	CA x 199.0000%
20	27 November 2031	04 December 2031	95.2500%	CA x 203.5000%
21	27 February 2032	05 March 2032	95.0000%	CA x 208.0000%
22	27 May 2032	04 June 2032	94.7500%	CA x 212.5000%
23	27 August 2032	06 September 2032	94.5000%	CA x 217.0000%
24	29 November 2032	06 December 2032	94.2500%	CA x 221.5000%
25	28 February 2033	07 March 2033	94.0000%	CA x 226.0000%
26	27 May 2033	06 June 2033	93.7500%	CA x 230.5000%
27	29 August 2033	05 September 2033	93.5000%	CA x 235.0000%
28	28 November 2033	05 December 2033	93.2500%	CA x 239.5000%
29	27 February 2034	06 March 2034	93.0000%	CA x 244.0000%
30	29 May 2034	05 June 2034	92.7500%	CA x 248.5000%
31	28 August 2034	04 September 2034	92.5000%	CA x 253.0000%
32	27 November 2034	04 December 2034	92.2500%	CA x 257.5000%

33	27 February 2035	06 March 2035	92.0000%	CA x 262.0000%
34	28 May 2035	04 June 2035	91.7500%	CA x 266.5000%
35	27 August 2035	03 September 2035	91.5000%	CA x 271.0000%
36	27 November 2035	04 December 2035	91.2500%	CA x 275.5000%

FURTHER INFORMATION

Dealer | Manufacturer: BofA Securities Europe SA ("**BofASE**") with registered address at 51, rue La Boétie, 75008 Paris is registered under n° 842 602 690 RCS Paris. In accordance with the provisions of French Code Monétaire et Financier (Monetary and Financial Code), BofASE is an établissement de crédit et d'investissement (credit and investment institution) that is authorised and supervised by the European Central Bank and the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers. BofASE's share capital can be found at www.bofaml.com/BofASEdisclaimer.

Calculation Agent: BofASE

Paying Agent: Citibank, N.A., London Branch

Registrar: Citibank Europe plc

Governing Law: **The Instruments and any non-contractual obligations arising out of or in connection with them will be governed by, and construed in accordance with, English law and the Guarantee is governed by, and construed in accordance with, the laws of the State of New York.**

Place of Jurisdiction: **English Courts regarding the Instruments and New York Courts regarding the Guarantee.**

Listing: Not applicable

Secondary Market: Under normal market conditions, the Dealer will (or will procure that one of its affiliates will) endeavour to provide a daily secondary market for the Instruments with a bid/offer spread of 1% on a reasonable efforts basis. There can be no assurance that a secondary market for the Instruments will be provided, nor any assurance as to the price at which the Dealer (or its affiliate, if applicable) or any other party would offer to purchase the Instruments.

See "Fees, Commissions and Concessions | Costs and Charges" below for potential costs related to secondary market transactions.

Quotation: Dirty

Additional Business Centre(s): London and T2

Additional Financial Centre(s): London and T2

Payment Day: Following

Payment Disruption: Not Applicable

Additional Disruption Events: Change in Law

Hedging Disruption

Increased Cost of Hedging

Early Redemption Amount payable on redemption for taxation reasons or on an event of default or on an illegality or following a Currency Substitution Event (or otherwise in accordance with the terms and Market Value less Associated Costs (no floor)

conditions of the Instruments):	
Form of Instruments/Clearing:	The Instruments are Notes and will be issued in registered form. **Clearing:** Euroclear Bank SA/NV and Clearstream Banking, S.A.
U.S. Selling Restrictions:	Reg S
Purchaser | Distribution Strategy:	**DISTRIBUTOR**: NEXO CAPITAL (the "**Distributor**") **Advised channel:** this product is intended to be distributed via advised sales only and is not intended for execution-only investors.
Fees, Commissions and Concessions | Costs and Charges:	Distribution fees equivalent to up to 1% p.a. of the Aggregate Nominal Amount may be paid to the distributor as a discount on the Issue Price or as an up-front payment by the Dealer to one or more financial intermediaries. Investors should contact the distributor that they are purchasing the Instruments from if they want to obtain further details on distribution fees.
Jurisdiction(s) of Investor:	France
Code Section 871(m) (United States withholding tax on dividend equivalent payments):	Not Applicable

SELLING RESTRICTIONS

There are restrictions on the offer, sale and transfer of the Instruments. See "Offering and Sale" in the Base Prospectus.

EUROPEAN ECONOMIC AREA

The Instruments may not be offered to the public within the European Economic Area unless a prospectus for such offer has been published in accordance with the EU Prospectus Regulation and the financial intermediary has been authorised by the Issuer to use that prospectus for the purposes of the offer or the offer is made in circumstances in which there is no requirement for the Issuer, the Guarantor or any Dealer to publish a prospectus or supplement a prospectus pursuant to the EU Prospectus Regulation.

UNITED KINGDOM

No Prospectus (as defined in the UK Prospectus Regulation) will be prepared in connection with the Instruments. Accordingly, the Instruments may not be offered to the public in the UK and any purchaser of the Instruments who subsequently sells any of the Instruments in the UK must do so only in accordance with the requirements of the UK Prospectus Regulation.

UNITED STATES

The Instruments may not be offered, sold, resold, traded, pledged, exercised, redeemed, transferred or delivered, directly or indirectly, in the United States or to, or for the account or benefit of, any U.S. person. A "U.S. person" has the meaning ascribed to it by Regulation S under the U.S. Securities Act of 1933, as amended.

ERISA

The Instruments generally are not eligible to be acquired, purchased or held by, or on behalf of, any (i) employee benefit plan subject to Title I of the U.S. Employee Retirement Income Security Act of 1974, as amended ("**ERISA**"), (ii) plan subject to Section 4975 of the U.S. Internal Revenue Code of 1986, as amended ("**Code**"), (iii) entity whose underlying assets include assets of a plan described in (i) or (ii) above by reason of such a plan's investment in the entity under 29 C.F.R. section 2510.3-101 as modified by Section 3(42) of ERISA or otherwise or (iv) governmental, church or non-U.S. plan that is subject to any U.S. federal, state, local or

non-US law that is substantially similar to Section 406 of ERISA or Section 4975 of the Code. See "ERISA Matters" in the Base Prospectus.

KEY RISKS AND SPECIAL CONSIDERATIONS

Investing in Instruments involves substantial risks, including without limitation, principal, interest rate, currency, credit, political, liquidity and market risks and is suitable only for investors who have the knowledge and experience in financial and business matters necessary to enable them to evaluate the risks and the merits of an investment in the Instruments. The summary description of risks and special considerations below does not purport to be exhaustive and prospective investors should consider all the information set forth in the Base Prospectus (including the "Risk Factors section") in addition to the risk factors set out below. Each of the Issuer and Guarantor disclaim any responsibility to update prospective investors in relation to such risks subsequent to the date hereof. The Issuer reserves the right not to issue the Instruments.

Investors must also refer to the "Risk Factors" section set out in the Base Prospectus.

Capitalised terms used herein but not otherwise defined shall have the meaning ascribed to them in the Base Prospectus.

CREDIT RISK OF THE ISSUER AND THE GUARANTOR

As the Instruments constitute obligations of the Issuer and Guarantor, investors will be exposed to their credit risk during the life of the Instruments.

The Issuer's and the Guarantor's credit ratings are an assessment of their ability to pay their obligations. Consequently, real or anticipated changes in the Issuer's or the Guarantor's credit rating and/or fluctuations in the prevailing credit spread of their issued debt may affect the trading value of the Instruments. If the Issuer or the Guarantor were to become insolvent or if the Issuer or the Guarantor were unable to repay (or deliver, as applicable) their obligations under the Instruments, an investor's investment would be at risk and such investor could lose all or some of the money initially invested. The Instruments are not backed, guaranteed or protected by any financial protection or compensation scheme.

RISK FACTORS RELATING TO BAC AND THE GROUP AND TO THE GROUP'S BUSINESSES AND INDUSTRY

Risks relating to Bank of America Corporation ("**BAC**") and the Bank of America group of companies (BAC and the consolidated subsidiaries, the "**Group**") and to the Group's business and industry include, but are not limited to, the following:

- The U.S. banking regulators have adopted rules mandating the inclusion of contractual stay provisions in certain financial contracts, which are intended to mitigate the risk of destabilising closeouts of such contracts on the resolution of BAC and its subsidiaries. The inclusion of these provisions into the Instruments could materially adversely affect the rights of Holders against the relevant Issuer or the Guarantor in a resolution scenario;
- Acknowledgement of U.S. Special Resolution Regimes: to address the QFC Stay Rules requirements, the Instruments contain express contractual recognition provision which, if the U.S. Special Resolution Regime were to apply, would impact the transfer of, or the exercise of any default rights under, the Instruments or the Guarantee;
- In an insolvency of the Guarantor, there may be a transfer of the Guarantee and other credit enhancements to another entity and cross-default rights may be eliminated;
- Holders may be affected by the risk that the obligations of the Guarantor may be transferred to another entity in the event the Guarantor enters into resolution, restructuring or similar proceedings or that the obligations of the Guarantor under the Guarantee will not be transferred to another entity while other liabilities and assets of the Guarantor are transferred in connection with such measures;
- BAC's ability to make payments under its Guarantee will depend upon its receipt of funds from its subsidiaries, and applicable law and regulations, and actions taken under BAC's resolution plan, could restrict the ability of its subsidiaries to transfer such funds;
- A resolution under BAC's single point of entry resolution strategy could materially adversely affect BAC's liquidity and financial condition and BAC's ability to pay its obligations on its securities and its ability to make payments under the Guarantee;
- If BAC enters a resolution proceeding, holders of BAC's debt securities and equity securities would be at risk of absorbing BAC's losses;
- Claimants under the Guarantee could be at greater risk of being structurally subordinated if BAC sells or conveys all or substantially all of its assets to one or more of its majority-owned subsidiaries;

- BAC is subject to the Federal Reserve Board's final rules requiring U.S. global systemically important organisations ("**G-SIBs**") holding companies to maintain minimum amounts of long-term debt meeting specified eligibility requirements; and
- BAC's obligations under the Guarantee will be structurally subordinated to liabilities of BAC's subsidiaries.

THE INSTRUMENTS MAY NOT BE A SUITABLE INVESTMENT FOR ALL INVESTORS

The Instruments may not be a suitable investment for all investors. Each potential investor in the Instruments must determine the suitability of that investment in light of its own circumstances.

Some Instruments are complex financial instruments. A potential investor should not invest in Instruments unless it has the expertise (either alone or with a financial adviser) to evaluate how such Instruments will perform under changing conditions, the resulting effects on the value of those Instruments, and the impact this investment will have on the potential investor's overall investment portfolio.

PAYOUT ON THE MATURITY DATE

In the event that the term sheet specifies that the Instruments are not principal protected (see the line item "Principal Protection" above), the principal of the Instruments is at risk. Upon redemption of the Instruments, an investor may not get back some or all of the amount originally invested in the Instruments.

In the event that the term sheet specifies that the Instruments are principal protected (see the line item "Principal Protection" above), although the Instruments contain a feature such that 100% of the principal amount of the Instruments is due to be repaid at maturity, investors should note that (i) the payment of any amount on the Maturity Date, regardless of the performance of the Underlying (if applicable), is subject to the Issuer and the Guarantor being solvent and/or being able to fulfil their obligations as they become due; and (ii) for all Instruments other than Notes in respect of which the Early Redemption Amount is specified to be at or above par in the applicable Issue Terms, if the Instruments are redeemed prior to maturity in accordance with their terms and conditions, the market value of the Instruments at such time together with deductions that may be made can result in investors receiving significantly less than 100% of the principal amount.

THE INSTRUMENTS MAY BE REDEEMED BY THE ISSUER PRIOR TO THEIR SCHEDULED MATURITY

The Issuer may early redeem the Instruments prior to their scheduled maturity in certain circumstances set forth in the Base Prospectus and Issue Terms relating to the Instruments, including, but not limited to, the occurrence of an Index Adjustment Event, a Merger Event, a De-listing, a Nationalisation, an Insolvency, an Additional Disruption Event and certain tax events. For all Instruments other than Notes in respect of which the Early Redemption Amount is specified to be at or above par in the applicable Issue Terms, if the Instruments are early redeemed prior to their scheduled maturity, the amount payable upon such early redemption may be significantly less than the investor's initial investment, and may be as low as zero.

VALUE OF THE INSTRUMENTS PRIOR TO REDEMPTION

The value of the Instruments will be affected by factors that interrelate in complex ways and are not exclusively related to the Underlying(s) (if applicable), including, but not limited to, those indicated under "CREDIT RISK OF THE ISSUER AND THE GUARANTOR" and "LIQUIDITY RISK". The effect of one factor may offset the increase in the value of the Instruments caused by another factor and the effect of one factor may exacerbate the decrease in the value of the Instruments caused by another factor. An investor may lose some or all of its investment if it seeks to sell the relevant Instruments prior to their scheduled maturity and the sale price of the Instruments in the secondary market is less than the investor's initial investment.

RISKS RELATING TO INSTRUMENTS THAT ARE NOTES

Risks relating to Instruments that are Notes include, but are not limited to, the following:

- The Notes issued by MLBV will not have the benefit of any cross-default or cross-acceleration with other indebtedness of the Issuer or BAC; with respect to such Notes, no event of default will be triggered by events of bankruptcy or insolvency or resolution proceedings relating to BAC, any covenant breach by BAC or BAC's guarantee ceasing to be in full force and effect for any reason, and accordingly any such event and will not permit the Notes to be declared due and payable. In such circumstances, the value investors receive on the Notes may be significantly less than what they otherwise would have received had the Notes been declared due and payable immediately upon certain events of bankruptcy or insolvency or resolution or similar proceedings relating to BAC or the breach of a covenant by BAC or upon BAC's guarantee ceasing to be in full force and effect.

RISKS RELATING TO INSTRUMENTS LINKED TO UNDERLYING(S)

Risks relating to Instruments linked to Underlying(s) include, but are not limited to, the following:

- An investment in Instruments linked to an Underlying entails significant risks that are not generally associated with similar investments in conventional fixed rate or floating rate debt securities. In particular, changes in the price or level of the Underlying will affect the value of Instruments linked to such Underlying and can result in investors sustaining a total loss

of the purchase price of the Instruments if the price or level of the Underlying does not move in the anticipated direction, unless the Instruments contain a feature such that 100% of the principal amount of the Instruments is due to be repaid at maturity and the Instruments are held to their scheduled maturity. This risk is unrelated to the financial creditworthiness of the Issuer and Guarantor;

- No investigation or review of the Underlying to which the Instruments are linked has been made for the purposes of forming a view as to the merits of an investment linked to such Underlying, nor is any guarantee or express or implied warranty made in respect of the selection of the Underlying, and no assurance or guarantee is given as to the performance of such Underlying. Investors should not conclude that the sale by the Issuer of the Instruments is any form of investment recommendation by it or any of its Affiliates;
- In the event of any loss, Holders have no claim against any Underlying, and the return on an Instrument linked to an Underlying may be less than the return on a direct investment in the Underlying; and
- In the case of Instruments linked to a basket of assets, investors are exposed to the performance of such basket and will bear the risks related to each of the basket constituents.

Investors must refer to the Base Prospectus for a detailed discussion of the risks relating to each specific Underlying.

If a Reference Rate applies to the Instruments, please refer to the Base Prospectus for a detailed discussion of the risks relating to Reference Rates.

LIQUIDITY RISK

The Instruments are not intended to be short-term trading instruments, and investors should be prepared to hold their Instruments until the Maturity Date. There is no assurance that any secondary market will develop or be maintained for the Instruments, or that any secondary market will be liquid. An illiquid market may have an adverse impact on the price at which the Instruments may be sold in the secondary market.

FOREIGN EXCHANGE RISK

An investor whose domestic currency is different to the specified currency of the Instruments will be subject to fluctuations in exchange rates and exchange controls that may be imposed by government and monetary authorities, that could have an adverse effect on the investor's return upon the conversion of amounts received under the terms of the Instruments into the investor's domestic currency.

POTENTIAL CONFLICTS OF INTEREST

There may be conflicts of interest between the Issuer, the Guarantor, the relevant Dealer and/or their respective Affiliates and the Holders. Neither the Issuer nor any of its Affiliates is acting as the investor's agent or in any fiduciary capacity with respect to the Holders.

The Issuer, the Guarantor, the relevant Dealer and/or any of their respective Affiliates or agents may engage in activities (including financial or other business transactions) that may result in conflicts of interests between their and their respective Affiliates' or agents' financial interests on the one hand and the interests of the Holders on the other hand. In the ordinary course of their business activities, the Issuer, the Guarantor, the relevant Dealer and/or any of their respective Affiliates or agents may make or hold a broad array of investments and actively trade debt and equity securities (or related derivative securities) and financial instruments (including bank loans) for their own account and for the accounts of their customers. These investments and securities activities may involve securities and/or instruments of the Issuer, the Guarantor or their Affiliates. The relevant Dealer or its Affiliates that have a lending relationship with the Issuer and/or the Guarantor routinely hedge their credit exposure to the Issuer and/or the Guarantor consistent with their customary risk management policies. The relevant Dealer or its Affiliates may also make investment recommendations and/or publish or express independent research views in respect of the Underlying(s) underlying any Instruments or other instruments and may hold, or recommend to clients that they acquire, long and/or short positions in such Underlying(s) or instruments.

In addition, the Issuer, the Guarantor, the relevant Dealer and/or their Affiliates may also engage in trading activities (including hedging activities) related to the Underlying(s) underlying any Instruments and other instruments or derivative products based on or related to the Underlying(s) underlying any Instruments for their proprietary accounts or for other accounts under their management. These trading activities may present a conflict of interest between Holders of the Instruments and the interests of the Issuer, Guarantor, the relevant Dealer or their respective affiliates, as applicable. These trading activities, if they influence the price/value of the Underlying(s) underlying the Instruments or secondary trading (if any) in the Instruments, could be adverse to Holders' interests as an owner of such Instruments. The Issuer, the Guarantor, the relevant Dealer and/or any of their respective Affiliates or agents may also issue other derivative instruments in respect of the Underlying(s) underlying Instruments. The Issuer, the Guarantor, the relevant Dealer and/or any of their respective Affiliates or agents may also act as underwriter in connection with future offerings of Shares or other securities related to an issue of Instruments or may act as financial adviser to certain companies whose Shares or other securities are included in a basket of Shares or other securities or

which are reference entities, or in a commercial banking capacity for any such companies. Such activities could present certain conflicts of interest, could influence the prices of such Shares or other securities and could adversely affect the value of such Instruments.

From time to time during the term of any Instruments and in connection with the determination of the payments on the Instruments, the Issuer or its Affiliates also may enter into hedging transactions or adjust or close out existing hedging transactions. The Issuer or its Affiliates also may enter into hedging transactions relating to other Instruments that the Issuer may issue, some of which may have returns calculated in a manner related to that of a particular series of Instruments. The Issuer would not seek competitive bids for such arrangements from unaffiliated parties. The Issuer or its Affiliates will price these hedging transactions with the intent to realise a profit, considering the risks inherent in these hedging activities, whether the value of the Instruments increases or decreases. However, these hedging activities may result in a profit that is more or less than initially expected, or could result in a loss.

Where the Instruments are offered to third parties, as the Dealer(s) and any distributors act pursuant to a mandate granted by the Issuer and they receive fees on the basis of the services performed and the outcome of the placement of the Instruments, potential conflicts of interest could arise. The Dealer(s), their agents and their Affiliates may engage in financial or other business transactions with the Issuer and the Guarantor in the ordinary course of business.

Unless otherwise specified in the applicable Issue Terms, in the case of Underlying linked Instruments, the Calculation Agent is an Affiliate of the Issuer and the Guarantor and in such capacity will have wide discretion in making certain determinations and adjustments to the terms of the Instruments and will calculate amounts payable or deliverable to Holders. The Calculation Agent may make such determinations using data which is not easily obtainable by Holders of the Instruments. Under certain circumstances, the Calculation Agent, as an Affiliate of the Issuer and the Guarantor, and its responsibilities as calculation agent for the Instruments could give rise to potential conflicts of interest between the Calculation Agent and the Holders.

The Group may receive compensation from trading and hedging activities related to the Instruments and from determining particular elements of each structure (such as the tenor or participation rate). This compensation is reflected into the terms of the Instruments.

HOLDERS OF THE INSTRUMENTS SHOULD CONSIDER THE ACCOUNTING AND TAX CONSEQUENCES OF INVESTING IN THE INSTRUMENTS

The Issuer, the Guarantor and their respective Affiliates make no representation and have given investors no advice concerning the appropriate accounting treatment or possible tax consequences of this indicative transaction. Prior to purchasing the Instruments, investors should discuss with their professional advisers how such purchase would or could affect them. Investors with any questions regarding the impact of an investment in the Instruments on their tax or accounting position should consult their tax, accounting or other professional advisers. None of the Issuer, the Guarantor and the Dealer gives, nor shall they be deemed to give, tax, accounting or legal advice.

RISK FACTOR RELATING TO U.S. WITHHOLDING TAX

A “dividend equivalent” payment is treated as a dividend from sources within the U.S. and such payments generally would be subject to a 30% (or a lower rate under an applicable treaty) U.S. withholding tax if paid to a non-U.S. holder unless an applicable exception exists. Investors should read carefully the discussion under “Taxation” and Condition 9 of the General Terms and Conditions of the Notes, as set forth in the Base Prospectus.

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TBD